LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS USANCE LC FUNDING?

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Module 1: Theoretical Foundations and Product Philosophy

1.1 The Trade Settlement Challenge

In global and high-value domestic commercial trade, a structural credit asymmetry exists between the buyer (importer/purchaser) and the seller (exporter/supplier). The exporter seeks immediate liquidity and absolute mitigation of commercial default risk, while the importer demands deferred payment terms to manufacture, distribute, and realize cash flows from the raw material before parting with liquid reserves. This fundamental tension is resolved through the mechanism of trade finance, where commercial banks introduce institutional guarantees to act as a confidence bridge between transacting entities.

1.2 Sight LC vs. Usance LC

Under the International Chamber of Commerce (ICC) rules, a Letter of Credit (LC) is a definitive undertaking by the Issuing Bank to pay the beneficiary (exporter) upon presentation of strictly compliant documents. The temporal structure of this payment classifies the instrument into two core formats:

1. Sight Letter of Credit: Requires the Issuing Bank to settle the payment obligation immediately (or within a standard five banking days audit window) upon receipt and validation of compliant documents.

2. Usance Letter of Credit (Deferred/Term LC): Incorporates an agreed-upon credit period (usance tenure) such as 30, 60, 90, 120, or up to 180 days from the invoice date, bill of lading date, or document presentation date. The Issuing Bank accepts the compliant documents on Day 1, but payment is legally deferred until the agreed maturity date, granting the buyer non-dilutive inventory runway.

1.3 The 2018 Letter of Undertaking (LoU) Ban Context

Historically, Indian importers extensively leveraged a triangular financing route: they would open a Sight LC, and obtain a Letter of Undertaking (LoU) or Letter of Comfort (LoC) from their local bank, allowing an overseas branch of an Indian bank to advance low-cost foreign currency credit (Buyer's Credit). However, in March 2018, following the multi-million dollar fraud at Punjab National Bank (PNB) involving the unauthorized issuance of LoUs via unintegrated SWIFT MT799 terminals, the Reserve Bank of India (RBI) banned LoUs and LoCs for trade credit with immediate effect.

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Module 2: Structural Taxonomy and Comparative Analysis

2.1 Comparative Mapping

To assist rookies in understanding the positioning of Usance LC Funding relative to adjacent trade credit structures, we have compiled an institutional comparative matrix spanning six key structural parameters:

Table 2.1: Structural Trade Finance Comparison Matrix

Parameter	Usance LC Funding	Sight LC Funding	Buyer's Credit (Pre-2018)	Supplier's Credit	UPAS LC Structures
Primary Risk Bearer	Issuing Bank (UCP 600)	Issuing Bank (UCP 600)	Local Indian Bank (LoU)	Importer Balance Sheet	Issuing Bank & Funding Bank
Standard Tenure	30 to 180 Days usance	Sight (Pay within 5 days)	90 to 360 Days usance	90 to 180 Days deferred	90 to 180 Days usance
Cost Structure	LC issuance charges	Sight LC issuance fee	LoU commission + Libor	Usance interest + fee	LC fee + SOFR + spread
Repayment Flow	Importer settles on Day N	Importer pays on Day 1	Overseas sweep on Day N	Importer settles on Day N	Importer settles on Day N
CERSAI / Charge File	No (Unless book debt hyp.)	No	Yes (LoU charge)	Yes (Seller hyp.)	No (Clean interbank line)

2.2 Deep Dive into UPAS structures

perspective of theThe Usance Payable at Sight (UPAS) LC is a highly sophisticated hybrid structure. From the perspective of the exporter, the transaction is structured as a Sight LC — they present compliant documents and receive immediate liquidity from a nominating/negotiating bank. From the importer, the transaction is structured as a

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Usance LC — they enjoy deferred payment terms (e.g., 90 days). The nominating bank pays the exporter 'at sight' using a trade loan line extended to the Issuing Bank, and the importer settles the principal plus trade interest with the Issuing Bank on Day 90. This minimizes supplier friction while maintaining low-cost funding.

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Module 3: The End-to-End Operational Lifecycle

3.1 The 11-Step Transaction Pipeline

To visualize the movement of cargo, documents, and SWIFT interbank messages, trainees must follow this chronological operational flow:

1. Contractual Agreement: Importer and Exporter execute a commercial sales agreement specifying a Usance LC payment structure (e.g., 90 days usance) and a local currency (INR) or international currency (USD) denomination.

2. Credit Appraisal & LC Application: Importer submits an LC application along with proforma invoices, board resolutions, and security pledges to its local bank (the Issuing Bank).

3. LC Issuance (SWIFT MT700): Issuing Bank transmits an irrevocable Usance LC to the Advising/Confirming Bank in the exporter's country via standard SWIFT MT700 message format.

4. LC Advising & Confirmation (SWIFT MT710): Advising Bank verifies the message authenticity and advises the LC to the exporter. A Confirming Bank may append its absolute payment guarantee (SWIFT MT710/MT720) to absorb the Issuing Bank's risk.

5. Manufacturing & Shipment: Exporter manufactures the goods, clears local export customs, delivers cargo to the shipping line, and receives the Bill of Lading (B/L) or Airway Bill.

6. Document Presentation: Exporter compiles shipping documents (Invoice, B/L, Certificate of Origin, Insurance Certificate, Packing List, Bill of Exchange) and presents them to its Nominating/Negotiating Bank.

7. Document Audit & Dispatch: Nominating Bank conducts a strict audit under UCP 600 rules within 5 banking days. If compliant, documents are dispatched to the Issuing Bank via secure courier, accompanied by a payment claim under SWIFT MT754 (Advice of Compliance).

8. Document Acceptance (SWIFT MT756): Issuing Bank receives, audits, and accepts the compliant documents. It transmits an electronic acceptance (SWIFT MT756 Advice of Acceptance) confirming the exact maturity date (e.g., 90 days from Bill of Lading date).

9. Trust Receipt Release: To enable the importer to clear the cargo from Indian customs and begin manufacturing, the Issuing Bank releases the physical shipping documents to the importer against a signed 'Trust Receipt' (TR).

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10. Inward Remittance Sweep: During the 90-day usance period, the importer sells the finished products and routes sales proceeds into a designated collections escrow account at the Issuing Bank.

11. Interbank Settlement (SWIFT MT103): On usance maturity, the Issuing Bank sweeps the collections account, originates a SWIFT MT103 credit remittance, and settles the principal (and interest) with the Negotiating/Advising Bank for onward credit to the exporter's current account.

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Module 4: Transactional Credit Underwriting & Risk Metrics

4.1 The Underwriting Paradigm Shift

Traditional corporate credit appraisal is static, historical, and heavily reliant on tangible net worth (TNW) and physical land collaterals. Under structured trade finance, the underwriting pivot shifts toward flow-based, transaction-backed credit analytics. The primary risk assessed is the viability of the underlying trading loop, the credit strength of the off-taker (buyer), and the historical transaction performance data of the importer.

4.2 Core Quantitative Underwriting Parameters

When an Indian bank evaluates an importer's eligibility for an LC Limit, credit officers analyze these benchmarks:

1. Promoter Personal Credit Score: Evaluated via CIBIL, where a score exceeding 700 is a non-negotiable prerequisite to ensure credit discipline.

2. CIBIL MSME Rank (CMR): Used for small and medium enterprises, where a rank between CMR 1 and CMR 4 is required to demonstrate a low probability of default.

3. Liquidity Ratios: Importer's Current Ratio must satisfy the 1.33:1 benchmark in accordance with the Tandon Second Method of Lending, ensuring sufficient net working capital.

4. Debt Serviceability: The Short-Term Debt Service Coverage Ratio (DSCR) must exceed 1.25x on trade flows.

5. Dilution Risk Metrics: Underwriters analyze historical invoice dilution rates (e.g., sales returns, quality claims, damage claims) over a 3-year rolling window. A safety multiplier (typically 1.5x to 2.0x) is applied to the historical dilution rate (benchmark < 2.50%) to establish a conservative Margin/Retention Reserve (e.g., 10% to 15%) to insulate the bank from shortfalls.

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Module 5: Legal Framework, Security Creation, and UCP 600 Compliance

5.1 UCP 600 and the Rules of Strict Compliance

All global Letters of Credit are subject to the ICC Uniform Customs and Practice for Documentary Credits (UCP 600). Rookies must master three core legal doctrines:

- Article 2 Definitions: Establishes that 'Honour' means to pay at sight, incur a deferred payment undertaking and pay at maturity, or accept a bill of exchange and pay at maturity.

- Article 7 & 8 Undertakings: Establishes that the Issuing Bank's and Confirming Bank's obligation to pay is absolute, irrevocable, and completely independent of the underlying sales contract. The bank deals strictly in documents, not in physical goods.

- Doctrine of Strict Compliance: Documents presented must match the LC terms exactly. Even a minor typographical discrepancy (e.g., misspelling a port name) legally discharges the Issuing Bank from its payment obligation.

- 5-Banking-Day Audit Window: Under Article 14, the bank has a maximum of five banking days from the day of presentation to examine and determine if a presentation is compliant. If the bank fails to issue an advice of refusal within this window, it is legally barred from claiming discrepancy later.

5.2 Actionable Claims and CERSAI Registration

The legal assignment of receivables (book debts) is governed by Section 130 of the Transfer of Property Act, 1882. Receivables are classified as 'actionable claims'. To secure senior lien rights and prevent double-pledging fraud:

1. Notice of Assignment (NoA): Every assigned trade invoice must carry a prominent stamp indicating that the receivables have been legally assigned to the financing bank, and payment to any other party does not constitute a valid legal discharge.

2. CERSAI Charge Filing: Under the Factoring Regulation Act, 2011 (amended in 2021), all factoring and invoice discounting transactions must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict statutory window of 10 days from execution to establish absolute legal priority over other creditors.

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5.3 The Role of the Trust Receipt (TR)

Because a Usance LC defers final payment, the importer must access the raw materials to process and sell them before usance maturity. To execute this safely, the bank releases the shipping documents to the importer against a signed Trust Receipt (TR). Under Indian law, the TR creates a constructive pledge where the importer holds the cargo, work-in-progress, and subsequent receivables strictly in a fiduciary trust capacity on behalf of the bank. Any diversion of these sales proceeds constitutes a criminal breach of trust under the Indian Penal Code.

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Module 6: Sectoral Sizing, Suitable Industries, and Market Alignment

6.1 Target Sectors for Usance LC structures

Usance LC Funding is ideal for capital-intensive, high-velocity supply chains with structured conversion cycles:

- Automotive Components: Suppliers import specialized steel or CNC tooling on 90-120 days usance, manufacture components, and deliver to major OEMs, aligning the cash conversion cycle with usance maturity.

- Chemicals & Polymers: Bulk raw materials are imported from the Middle East, processed into consumer goods, and sold locally. Usance LCs eliminate upfront cash drain.

- Consumer Electronics: Under India's high-tech PLI framework, domestic manufacturers import semi-knocked-down components from East Asia, assemble them, and distribute them to retail channels, utilizing deferred payments to capture high seasonal sales volumes.

6.2 Market Scale and Institutional Sizing

Citing data from SIDBI MSME Pulse reports and bank disclosures, working capital finance continues to scale rapidly:

- Retail and Wholesale Traders represent the single largest segment of working capital borrowers, making up approximately 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment.

- Centralized public sector systems, such as the State Bank of India's (SBI) electronic Dealer Financing Scheme (e-DFS), represent over ₹49,261 Crores in active exposure, while its electronic Vendor Financing Scheme (e-VFS) stands at ₹28,092 Crores. This highlights the massive systemic scale of digital supply chain and trade credit portals across Indian commercial banking.

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Module 7: Commercial Pricing Mechanics and Financial Models

7.1 Interest Computation and Benchmarks

The pricing of Usance LC Funding is a function of the underlying currency. For domestic Indian Rupee (INR) transactions, pricing is linked to the bank's External Benchmark Lending Rate (EBLR) or Marginal Cost of Funds based Lending Rate (MCLR). For cross-border transactions, post-LIBOR cessation on June 30, 2023, global banks leverage the daily Adjusted Term SOFR (Secured Overnight Financing Rate) plus a risk-adjusted bank spread.

Core Interest Formula:

Interest Expense = (Advanced Principal × [SOFR/EBLR + Spread] × Usance Days) / 365

7.2 GST Treatment on Trade Finance Fees

Under Section 10(1)(b) of the IGST Act, 2017 and central GST guidelines, a critical distinction is maintained between financing interest and transactional service fees:

1. Core Interest Component: Interest charged on reducing trade loan balances or discounting bills is completely exempt from GST, protecting corporate borrowers from tax cascading on raw financing costs.

2. Transaction Fees: Upfront processing fees, LC issuance commissions, amendment fees, and documentation charges are classified as commercial services and attract a standard 18% GST. These fees qualify for corporate Input Tax Credit (ITC) if the importer maintains active GSTR-1/3B filings.

7.3 The Strategic Interest Tax Shield

Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for business purposes is classified as a fully deductible revenue expenditure. This creates a valuable tax shield:

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After-Tax Cost of Debt = Nominal Trade Interest Rate × (1 - Corporate Tax Rate)

For a corporate entity paying the standard corporate tax rate of 25.17% (inclusive of surcharge and cess), a nominal usance interest rate of 8.00% is reduced to an effective post-tax borrowing cost of 5.99%, creating substantial cash savings.

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Module 8: Regulatory Compliance, FEMA Realization Mandates, and IRACP Asset Norms

8.1 FEMA 9-Month Repatriation Mandate and RBI 2025 Trade Relief

Under the Foreign Exchange Management Act (FEMA), 1999, Indian exporters are under a strict statutory mandate to realize and repatriate the full value of export proceeds to India within 9 months from the shipment date. However, recognizing severe global logistics bottlenecks and supply chain disruptions, the RBI issued its landmark 2025 Trade Relief Directions. This circular extended the standard credit usance tenure for import/export credits up to a maximum of 450 days, and relaxed the statutory foreign currency repatriation window up to 15 months, significantly relieving working capital stress for exporters.

8.2 Digital Verification and IDPMS/EDPMS Reconciliations

The RBI digitized tracking through the Import Data Processing and Monitoring System (IDPMS) and Export Data Processing and Monitoring System (EDPMS). Every outward trade payment (import leg) must match a corresponding customs Bill of Entry (BoE) uploaded by Indian Customs to IDPMS. Conversely, every export shipment must generate an electronic Bank Realisation Certificate (eBRC) on EDPMS to close the trade loop, completely eliminating unauthorized capital flight.

8.3 RBI IRACP Guidelines and the 'Out of Order' Trigger

Indian banks operate under strict Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines. A Usance LC facility is funded via trade cash credit or short-term demand loan accounts. An account is classified as Special Mention Account (SMA-0) on Day 1 of overdue, scaling to SMA-1 (overdue 31-60 days) and SMA-2 (overdue 61-90 days). On the 91st day, the account is classified as a Non-Performing Asset (NPA) if it is triggered 'Out of Order'.

An account is classified as 'Out of Order' if:

1. The outstanding balance exceeds the sanctioned credit limit or drawing power for 90 consecutive days.

2. There are zero credits in the account for 90 days, or credits are insufficient to cover the interest debited during the same period.

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Furthermore, a 'Technical Default' automatically triggers NPA classification if the stock statement is delayed past 180 days, or if the formal credit limit renewal is not completed within 180 days of its annual expiry date.

8.4 Digital Lending LSP Rules and DLG Caps

Under the latest RBI Digital Lending guidelines, when banks leverage Lending Service Providers (LSPs) and digital fintech channels to originate and manage supply chain/trade credits:

- First Loss Default Guarantee (FLDG/DLG) arrangements are strictly capped at a maximum of 5.0% of the aggregate loan portfolio balance to prevent systemic under-the-radar credit risk transfers.

- Digital platforms must ensure direct disbursal of loans from bank current accounts to the borrower's account with zero third-party pool account routing.

- Strict customer protection hours restrict recovery calling agents between 07:00 AM and 07:00 PM only.

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Module 9: Comprehensive Real-World Case Study

9.1 The Operational Scenario

To ground these principles in professional practice, we model a detailed, multi-currency trade cycle conducted by Pune Industrial Alloys Pvt. Ltd. (PIAPL), an Indian manufacturer paying the corporate tax rate of 25.17%. PIAPL imports specialized raw alloy steel from Bavarian Metals AG, Germany. The parties execute an agreement to fund the import of a consignment valued at USD 500,000 using a 90-day Usance Letter of Credit issued by State Bank of India (SBI), Pune Branch.

Transactional and Treasury Parameters:

- Invoice Value: USD 500,000

- Exchange Spot Rate (Day 1): ₹84.00 per USD (Consignment Value = ₹4,20,00,000)

- 10% Cash Margin FD Advanced: ₹42,00,000 (earning 6.50% p.a. interest)

- Nominal Interest Rate on USD Trade Loan (90 days): 7.20% p.a. (Adjusted Term SOFR + Spread)

- Nominal Alternative Domestic INR Cash Credit Line Rate: 11.50% p.a.

- Locked 90-Day Forward Hedging Contract Rate: ₹84.50 per USD

- Bank Upfront Processing Fee: 0.20% of advanced loan principal

9.2 Chronological Accounting & Treasury Walkthrough

Let us analyze the step-by-step cash flow calculations in Indian Rupees:

Step 1: Establishment of Cash Margin FD

PIAPL places a 10% cash margin in a fixed deposit at SBI:

FD Principal = ₹4,20,00,000 × 10% = ₹42,00,000

Gross FD Interest Earned (90 days) = ₹42,00,000 × 6.50% × (90 / 365) = ₹67,315.07

Corporate Tax on FD Interest (25.17%) = ₹67,315.07 × 25.17% = ₹16,943.20

Net After-Tax FD Interest Yield = ₹67,315.07 - ₹16,943.20 = +₹50,371.87

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Step 2: Processing Fees & GST

SBI charges an upfront fee of 0.20% on the LC principal amount of USD 500,000, converted at Day 1 spot:

LC Principal (INR) = USD 500,000 × ₹84.00 = ₹4,20,00,000

Processing Fee = ₹4,20,00,000 × 0.20% = ₹84,000

GST (18%) on Processing Fee = ₹84,000 × 18% = ₹15,120 (recoverable corporate Input Tax Credit)

Total Upfront Cash Outflow (Day 1) = ₹84,000 + ₹15,120 = ₹99,120

Step 3: Accrued USD Trade Loan Interest

At usance maturity (Day 90), interest on the USD usance credit is calculated using the actual/365 convention:

Nominal USD Interest = USD 500,000 × 7.20% × (90 / 365) = USD 8,876.71

Gross USD Payment Due = USD 500,000 + USD 8,876.71 = USD 508,876.71

Step 4: Forward Contract Execution and Rupee Conversion

To eliminate exchange rate risk, PIAPL's treasury executes a 90-day forward contract at ₹84.50/USD. At maturity, the required Rupee outflow to settle the USD liability is:

Rupee Outflow = USD 508,876.71 × ₹84.50 = ₹4,30,00,081.995 (rounded to ₹4,30,00,082)

Interest Component in Rupees = USD 8,876.71 × ₹84.50 = ₹7,50,081.995 (rounded to ₹7,50,082)

Step 5: Income Tax Shields

Under Section 36(1)(iii) of the Income Tax Act, 1961, the interest and processing fee expenses generate a revenue tax shield:

Tax Shield Base = Interest Expense (₹7,50,082) + Upfront Processing Fee (₹84,000) = ₹8,34,082

Corporate Tax Shield Benefit (25.17%) = ₹8,34,082 × 25.17% = ₹209,938.44 (rounded to ₹2,09,938)

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Net Post-Tax Financing Cost = (Interest [₹7,50,082] + Processing Fee [₹84,000]) - Tax Shield [₹2,09,938] = ₹6,24,144

9.3 Strategic Cost-Benefit Analysis vs. Domestic CC Lines

Let us compare this structured trade finance route against drawing from a standard domestic Rupee Cash Credit line:

Alternative Domestic Cash Credit (CC) Cost (11.50% p.a. for 90 days on ₹4,20,00,000):

CC Interest = ₹4,20,00,000 × 11.50% × (90 / 365) = ₹11,90,958.90 (rounded to ₹11,90,959)

CC Tax Shield (25.17%) = ₹11,90,959 × 25.17% = ₹2,99,764.38 (rounded to ₹2,99,764)

Net Post-Tax CC Cost = ₹11,90,959 - ₹2,99,764 = ₹8,91,195

Comparison Summary:

- Net Post-Tax Cash Credit (CC) Line Cost: ₹8,91,195
- Net Post-Tax Structured Usance LC Cost: ₹6,24,144
- Direct Interest Cash Savings: ₹8,91,195 - ₹6,24,144 = +₹2,67,051
- Plus Net After-Tax FD Interest Yield: +₹50,372
- Net Strategic Treasury Savings: ₹2,67,051 + ₹50,372 = **₹3,17,423**

By opting for SBLC/LC-backed structured usance financing, the corporate treasury captures an additional ₹3,17,423 in net cash value, while completely neutralizing foreign currency volatility via forward contract locks.

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Module 10: 10-Question Professional Certification Examination

10.1 Module Instructions

This certification exam is designed to validate your mastery of Usance LC Funding, UCP 600 guidelines, and Indian regulatory frameworks. Answer all questions and check your answers against the provided keys and rationales.

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Module 10.1: Question 1 (UCP 600 Examining Timeline)

Under Article 14 of the ICC Uniform Customs and Practice for Documentary Credits (UCP 600), what is the maximum time limit permitted for an Issuing Bank or Confirming Bank to audit presented documents and determine compliance?

A) Capped at a maximum of 3 banking days following the day of presentation.

B) Capped at a maximum of 5 banking days following the day of presentation.

C) Capped at a maximum of 7 calendar days following shipment.

D) Capped at a maximum of 10 business days following document dispatch.

★ Correct Option: B.

★ Rationale & Analysis:

Under Article 14 of UCP 600, banks have a non-negotiable maximum of 5 banking days following the day of presentation to examine a claim. If the bank fails to issue an advice of refusal within this window, it is legally barred from claiming any discrepancy, securing payment surety for the exporter.

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Module 10.2: Question 2 (FEMA Repatriation Window & 2025 Trade Relief)

Under standard FEMA guidelines and the subsequent landmark RBI 2025 Trade Relief Directions, what are the maximum permissible usance credit tenures and export proceeds repatriation windows allowed for Indian trade entities?

A) Usance credit tenure up to 180 days; repatriation window up to 9 months.

B) Usance credit tenure up to 450 days; repatriation window up to 15 months.

C) Usance credit tenure up to 360 days; repatriation window up to 12 months.

D) Usance credit tenure up to 120 days; repatriation window up to 6 months.

★ Correct Option: B.

★ Rationale & Analysis:

The RBI 2025 Trade Relief Directions extended usance tenures to 450 days and the repatriation window up to 15 months to insulate Indian exporters and importers from global logistics disruptions and shipping bottlenecks.

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Module 10.3: Question 3 (GST Treatment of Trade Interest)

How are the core trade interest expenses and transactional upfront processing fees treated for Goods and Services Tax (GST) purposes under active Indian tax guidelines during a Usance LC discounting transaction?

A) Core trade interest is completely GST-exempt, while upfront processing fees attract 18% GST (which qualifies for corporate Input Tax Credit).

B) A flat GST of 18% is applied to the entire trade loan principal, which is non-recoverable.

C) Core interest is taxed at 5% GST, while processing fees are completely GST-exempt.

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D) Both interest and service fees are 100% exempt from GST under export-import development schemes.

★ Correct Option: A.

★ Rationale & Analysis:

In accordance with Section 10(1)(b) of the IGST Act, 2017 and central GST guidelines, interest charged on bank advances/discounting is completely GST-exempt. However, bank fees (processing, amendment, and arrangement fees) attract a standard 18% GST, which is fully recoverable as ITC.

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Module 10.4: Question 4 (CERSAI Registration Timeline)

Under the Factoring Regulation Act, 2011 (including the 2021 Amendments), what is the mandatory statutory window within which a financing bank must register an assignment of trade receivables with the CERSAI registry?

A) Within 3 banking days from the date of first invoice discounting.

B) Within 10 days from the date of execution of the transaction or assignment.

C) Within 30 days from the date of execution of the transaction or assignment.

D) Within 45 days from the date of custom customs clearance.

★ Correct Option: B.

★ Rationale & Analysis:

The Factoring Regulation (Amendment) Act, 2021 mandates all factoring charges and receivable assignments be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict 10-day statutory window to prevent duplicate pledge fraud and secure absolute seniority.

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Module 10.5: Question 5 (TReDS Platforms for MSMEs)

Which Ministry mandate legally forces Indian corporate entities and Central Public Sector Enterprises (CPSEs) to onboard and transact on the Trade Receivables Discounting System (TReDS) exchanges to support MSME liquidity?

A) All corporate entities with annual turnovers exceeding ₹500 Crores, and all CPSEs, must onboard onto TReDS.

B) Only loss-making CPSEs are required to onboard to seek financing support.

C) Onboarding is purely voluntary for all large corporates and CPSEs without any statutory mandates.

D) All corporate entities with annual turnovers exceeding ₹100 Crores must onboard, while CPSEs are exempted.

★ Correct Option: A.

★ Rationale & Analysis:

To resolve chronic MSME payment delays, the Ministry of MSME issued a statutory directive in November 2018 legally forcing all corporate entities with annual turnovers exceeding ₹500 Crores and all CPSEs to onboard onto the TReDS exchanges (such as RXIL, M1xchange, or Invoicemart).

Module 10.6: Question 6 (RBI IRACP 'Out of Order' Definiton)

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, which condition classifies a revolving trade credit facility as 'Out of Order', triggering automatic NPA status after 90 days?

A) Outstanding balance exceeds limit/DP for 90 consecutive days, or credits are insufficient to cover debited interest.

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B) Outstanding balance is positive but zero withdrawals are conducted over a rolling 180-day cycle.

C) Outstanding balance exceeds limit for 45 calendar days, or monthly stock statements are delayed by 30 days.

D) The promoter's personal CIBIL score drops below 650 during the annual renewal cycle.

★ Correct Option: A.

★ Rationale & Analysis:

The RBI IRACP norms establish that a trade cash credit or overdraft account is 'Out of Order' if the outstanding balance exceeds the sanctioned limit or drawing power for 90 consecutive days, or if there are zero credits for 90 days or credits are insufficient to cover interest debited in the same period.

Module 10.7: Question 7 (Technical Default NPA Triggers)

Under active RBI guidelines, what are the technical timelines regarding stock statements and formal credit limit renewals that will trigger an automatic 'Technical Default' and NPA classification, regardless of regular payment?

A) Stock statements delayed past 90 days, or renewals not completed within 90 days of expiry.

B) Stock statements delayed past 180 days, or renewals not completed within 180 days of expiry.

C) Stock statements delayed past 45 days, or renewals not completed within 120 days of expiry.

D) Stock statements delayed past 360 days, or renewals not completed within 360 days of expiry.

★ Correct Option: B.

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★ Rationale & Analysis:

The RBI guidelines state that even if an account has zero payment arrears, an automatic Technical Default NPA is triggered if the required stock statements are delayed past 180 days, or if the formal annual limit renewal is not executed within 180 days from its scheduled expiry date.

Module 10.8: Question 8 (Strategic Interest Tax Shield Benefit)

Under which Section of the Indian Income Tax Act, 1961 is interest paid on borrowed working capital classified as a fully deductible revenue expenditure, generating corporate tax shields?

A) Section 37(1) (General Business Expenses).

B) Section 36(1)(iii) (Interest on Borrowed Capital).

C) Section 43B (Payment on Actual Realization).

D) Section 80IA (Infrastructure Tax Exemptions).

★ Correct Option: B.

★ Rationale & Analysis:

Section 36(1)(iii) of the Income Tax Act, 1961 explicitly allows a full deduction of interest paid in respect of capital borrowed for the purposes of the business or profession, reducing the net post-tax cost of debt.

Module 10.9: Question 9 (The Doctrine of Strict Compliance)

Under UCP 600 legal doctrines, if an exporter presents shipping documents to the Issuing Bank with a minor typographical error (e.g., misspelling 'Ludhiana' as 'Ludiana' in the port description), how is the bank legally empowered to treat this presentation?

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A) The bank must accept the documents if the underlying cargo has safely arrived at the destination port.

B) The bank is legally discharged from its irrevocable payment obligation due to the Doctrine of Strict Compliance.

C) The bank must consult the importer and is bound to follow the importer's decision.

D) The bank must discount the bill with a mandatory 5% fee penalty applied to the exporter.

★ Correct Option: B.

★ Rationale & Analysis:

The Doctrine of Strict Compliance establishes that banks deal in documents, not goods. Any typographical discrepancy, no matter how minor, legally discharges the bank from its payment obligation under UCP 600 rules.

Module 10.10: Question 10 (Digital Lending DLG Caps)

Under the latest RBI guidelines on Digital Lending and LSP operations, what is the maximum permissible cap allowed for First Loss Default Guarantee (FLDG/DLG) arrangements on trade portfolios to protect systemic stability?

A) Capped at a maximum of 2.0% of the aggregate credit portfolio balance.

B) Capped at a maximum of 5.0% of the aggregate credit portfolio balance.

C) Capped at a maximum of 10.0% of the aggregate credit portfolio balance.

D) DLG arrangements are completely prohibited for digital supply chain portfolios.

★ Correct Option: B.

★ Rationale & Analysis:

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The RBI Digital Lending Directions cap all First Loss Default Guarantee (FLDG/DLG) agreements at a maximum of 5.0% of the aggregate loan portfolio balance to prevent unregulated entities from carrying excessive trade risk.

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